



Econsult Africa

STRICTLY CONFIDENTIAL · BOARD & INVESTMENT COMMITTEE PAPER

VPAY

A Proximity Payment and Merchant-Data Layer for Equity

An independent business case for the adoption of Bluetooth (BLE) proximity acceptance within the Equity payments ecosystem

Prepared by	Econsult Africa (Nairobi) — economic advisory & applied research
Commissioned by	VPAY · SMT Quantum Technologies Ltd.
Subject	Adoption of VPAY by Equity Group Holdings Plc — for presentation to the Board & Investment Committee
Classification	Strictly Confidential — controlled circulation
Date	July 2026

A note on this document. Econsult Africa was retained by VPAY to prepare this business case as an independent adviser. It is built on independently sourced FY2025/2026 market data and Equity's published results, and it deliberately does not rely on the transaction-fee revenue projections in earlier material. As set out in Section 6, those projections rested on a take-rate assumption roughly four times what the market leader actually earns on merchant payments, and are not used here.

Basis of Preparation and Important Notice

This business case has been prepared by Econsult Africa, an independent economic advisory and applied-research firm based in Nairobi, at the request of VPAY (SMT Quantum Technologies Ltd.). It supports a specific decision: whether Equity Group Holdings Plc (“Equity” or “the Group”) should adopt VPAY, a Bluetooth Low Energy (BLE) proximity payment and merchant-data capability developed by SMT, as an addition to Equity’s existing digital payments stack. Although commissioned by VPAY, the analysis is written to the standard of an independent board investment memorandum. Its purpose is analytical, not promotional, and its conclusions follow the evidence rather than the commission.

What the reader should know before the numbers

- **No pilot data exists yet.** VPAY has not been deployed with Equity. Every adoption, throughput and value figure in this paper is an explicit, stated assumption, benchmarked against comparable Kenyan payment deployments and Equity’s own published performance. Assumptions are collected in Appendix A and should be tested against a live pilot before capital is committed at scale.
- **Value is measured from Equity’s balance sheet, not from a transaction fee.** The central argument of this paper is that VPAY’s value to Equity lies in deposits, lending origination, retention and cost avoidance. It is not a fee-income play. This framing is explained in Section 6 and Section 7 and is the single most important departure from earlier internal drafts.
- **VPAY is positioned as an enhancement, not a replacement.** Equity already operates
- Pay With Equity (formerly EazzyPay), an interoperable, real-time, zero-commission merchant acquiring rail. VPAY does not introduce interoperability or instant settlement; Equity already has these. VPAY adds the one thing that rail still lacks: automatic, proximity-based merchant discovery, plus offline tolerance and richer point-of-sale data. This is stated plainly so that the Board is not asked to pay for capability it already owns.
- **Figures are illustrative and rounded.** Rand-level precision is reserved for the accompanying financial model. Where Kenyan data is unavailable, transparent proxies from comparable markets are used and labelled as such.
- **Independence of sourcing.** Market figures are drawn from the Central Bank of Kenya, the Communications Authority of Kenya, KNBS, Safaricom and Equity’s own audited disclosures, each cited in-line and consolidated in Appendix B.

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1. Executive Summary

THE DECISION IN ONE PAGE

Equity is asked to approve a phased adoption of VPAY, a Bluetooth proximity acceptance and transaction-data layer, integrated into Equity's existing Finserve (Jenga API) and Finacle infrastructure. The recommended first commitment is modest: an integration and pilot investment in the order of KES 250–400 million, governed by clear go / no-go gates, ahead of any national rollout.

1.1 The opportunity

Kenya's payments market is at an inflection point that favours banks over mobile-money incumbents for the first time in a decade. Three forces are converging. First, the fee model that built M-PESA is eroding: 58% of all M-PESA transactions are now zero-rated under M-PESA Kadogo, and merchant payments below KES 200 are free ([Safaricom, 2026](#)). Second, the Central Bank of Kenya is turning instant settlement and interoperability into free public infrastructure through its Fast Payment System and the KE-QR standard. Third, smartphone penetration has passed 83%, so proximity technology is finally viable at national scale.

This matters because the moat in Kenyan payments is shifting from who charges the lowest fee to who owns the customer relationship, the data and the credit decision. That is a bank's home ground, and Equity holds a stronger hand there than any competitor.

The advantage is moving from who charges the lowest fee to who owns the customer, the data and the credit decision — a bank's home ground.

1.2 The problem VPAY solves

Equity already lets a merchant accept money for free, instantly, from any network, through Pay With Equity. What it cannot yet do is remove the last piece of friction at the counter: the customer still has to find and key in a till or paybill number, confirm it, and hope it is correct. On M-PESA's equivalent flow this is an eleven-step, 35-to-50-second process, and mis-keyed merchant numbers are a routine source of failed and misdirected payments. VPAY replaces that with a proximity handshake: the phone detects the merchant over BLE, resolves the till automatically, and the customer simply confirms the amount. Six steps, roughly eleven seconds, and no manual merchant entry.

1.3 Why this is worth money to Equity

VPAY is not a fee business. Its value accrues to Equity's balance sheet through four channels, each quantified in Section 7:

- **Low-cost deposits.** Every merchant collection that settles and dwells in an Equity account grows cheap, sticky CASA funding, which Equity lends and invests at a net interest spread.
- **Data-driven lending.** Each VPAY transaction is a credit-scoring data point that lets Equity, already the lender to 45% of Kenya's bank-financed SMEs, underwrite more merchants, faster and with lower risk, against an estimated KES 4 trillion MSME financing gap.
- **Retention and defence.** A merchant whose collections, working capital and settlement all run through Equity is expensive to poach. VPAY slows the disintermediation of Equity's payment flows by M-PESA.
- **Cost avoidance.** BLE turns any phone into an acceptance device, removing the KES 15,000–50,000 per-merchant cost of card POS hardware and automating reconciliation.

1.4 The financial case, in brief

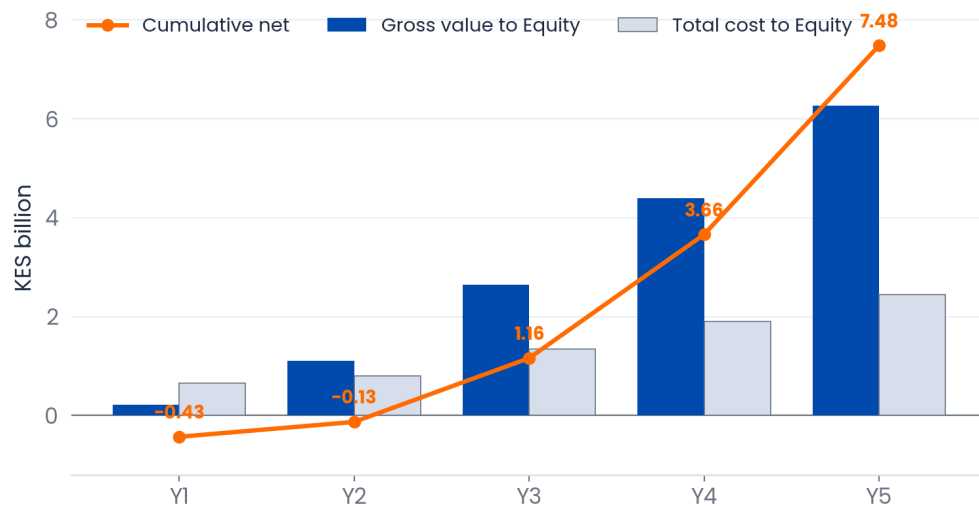
On a deliberately conservative base case (Section 9), VPAY generates incremental value to Equity rising to roughly KES 6.3 billion per year by Year 5, for a cumulative five-year net contribution near KES 7.5 billion after all SMT fees and internal costs. Payback falls inside Year 3. The five-year net present value is positive at Equity's hurdle rate even before terminal value, and the internal rate of return is high because the upfront cost is small relative to the balance-sheet value unlocked. The economics are driven less by scale than by the near-zero cost of acquiring a merchant when no hardware is required, which produces an LTV-to-CAC ratio above 30x.

Exhibit 1.1 Headline financials — base case (KES billion unless stated)

Measure	Year 1	Year 2	Year 3	Year 4	Year 5
VPAY-active merchants (000s)	20	85	200	330	450
VPAY throughput processed	30	145	380	677	990
Gross value to Equity	0.22	1.10	2.64	4.40	6.27
Total cost to Equity	0.65	0.80	1.35	1.90	2.45
Net value to Equity	(0.43)	0.30	1.29	2.50	3.82
Cumulative net	(0.43)	(0.13)	1.16	3.66	7.48

Source: Econsult Africa analysis. Illustrative base case; assumptions stated in Appendix A. Figures rounded.

EXHIBIT — HEADLINE FINANCIALS (BASE CASE)

VPAY generates positive net value from Year 2, payback inside Year 3

Source: Econsult Africa analysis. Illustrative base case; assumptions in Appendix A.

Figure 1. Gross value, cost and cumulative net to Equity, base case (KES bn).

1.5 Recommendation

Recommendation: Proceed to a gated pilot. Approve integration of VPAY into the Jenga API / Finacle stack and a 90-to-120-day pilot in one or two dense merchant corridors, with pre-agreed success criteria on merchant activation, transaction success rate, settlement integrity and fraud. Authorise national rollout only on the pilot clearing those gates. Engage SMT as a technology partner operating under Equity's regulatory licence, on the blended commercial model recommended in Section 8, not on the transaction-fee revenue share implied in earlier material.

2. Strategic Context: Kenya's Payments Inflection Point

A business case is only as strong as its reading of the market moment. This section establishes why VPAY is timely now, in 2026, in a way it would not have been three years ago and may not be three years hence.

2.1 Mobile money is universal, and its fee moat is dissolving

Kenya has effectively saturated mobile money. Mobile-money subscriptions reached 51.4 million at end-2025, a 98% penetration rate, and M-PESA holds an 89% share of that market.

What is changing is the economics. Safaricom has deliberately zero-rated small-value activity: under M-PESA Kadogo, person-to-person transfers up to KES 100 and merchant payments up to KES 200 are free, and these free transactions now account for 58% of all M-PESA activity.

2.2 The infrastructure is being commoditised by the regulator

The Central Bank of Kenya is actively building rails that neutralise several of the features a proximity product might once have charged for. Under the National Payments Strategy 2022–2025, the CBK has delivered merchant till interoperability and, in 2023, a single interoperable KE-QR code standard, and it is developing a Fast Payment System (FPS), an instant, 24/7, account-to-account rail in the mould of India's UPI and Brazil's PIX.

Strategic read: When instant settlement and interoperability become free public infrastructure, they stop being a source of advantage. The durable advantage moves to whoever owns the customer experience at the point of payment and the data that payment generates. VPAY is a bet on owning the experience and the data layer, precisely the layer the FPS does not provide. VPAY should be designed to ride the FPS, not to compete with it.

2.3 The device base now supports proximity at scale

Bluetooth proximity only works where phones can speak it. That condition is now met. Kenya had 48.7 million smartphones in use at end-2025, up 9.1% in a single quarter, with smartphone penetration at roughly 83.5% by mid-2025 and 4G covering 97.3% of the population.

2.4 Equity's own strategy points squarely at this

Equity closed FY2025 with record profit before tax of KES 92.1 billion, 22.4 million customer accounts, KES 1.46 trillion in deposits, and 98% of transactions occurring outside the branch, of which 88.4% were fully digital.

The Group has set a public ambition under its Africa Recovery and Resilience Plan to reach 100 million customers across 15 countries by 2030. Reaching one hundred million customers is not a branch-led project; it is an acquisition-and-engagement project that needs a low-cost, high-frequency touchpoint. A merchant-payment experience that removes friction is exactly such a

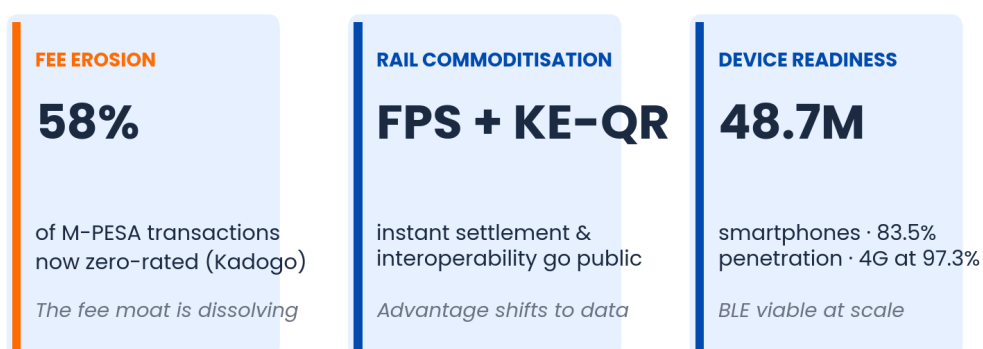
touchpoint. VPAY is therefore not a tangential fintech add-on; it is aligned with the Group's stated growth engine.

Exhibit 2.1 The three forces that make VPAY timely

Force	What is happening	Implication for Equity
Fee erosion	58% of M-PESA transactions now free; merchant payments <KES 200 zero-rated	The fee-based competitor is structurally constrained; a bank that monetises via balance sheet can match 'free' and still profit
Rail commoditisation	CBK FPS, KE-QR and interoperability turning settlement into public infrastructure	Advantage shifts to experience and data ownership — a bank's strength, not a telco's
Device readiness	48.7M smartphones, 83.5% penetration, 4G at 97.3%	BLE proximity is now technically viable at national scale

Source: CA Q2 FY2025/26; Safaricom FY2025/26; CBK NPS 2022–2025. Full citations in Appendix B.

Three forces make VPAY timely in 2026



Source: CA Q2 FY2025/26; Safaricom FY2025/26; CBK NPS 2022–2025.

Figure 2. The three forces that make VPAY timely in 2026.

3. The Problem: Friction at the Point of Merchant Payment

The case for VPAY rests on a small, specific, high-frequency problem, not a grand one. Precisely because the problem is small and repeated billions of times a year, removing it compounds into material value.

3.1 The current merchant-payment journey

Consider the dominant flow today, paying a merchant by M-PESA Paybill. The customer moves through roughly eleven discrete steps and 35 to 50 seconds:

Exhibit 3.1 Current versus VPAY merchant-payment journey

#	Today: M-PESA Paybill (≈11 steps, 35–50s)	VPAY proximity (≈6 steps, ≈11s)
1	Unlock phone	Approach merchant, open pay screen
2	Open M-PESA / app menu	BLE auto-detects and resolves the merchant
3	Select Lipa na M-PESA → Paybill	Amount auto-populated or entered once
4	Key in business number (manual)	Confirm by PIN or biometric
5	Confirm business number	Atomic settlement to Equity ledger
6	Key in account / till number (manual)	Auto-reconciliation, instant receipt
7	Enter amount	—
8	Enter PIN	—
9	Confirm transaction	—
10	Await SMS confirmation	—
11	Manual reconciliation by merchant	—

Step counts for the M-PESA Paybill flow are widely documented; the VPAY flow reflects SMT's design specification.

Removing the last friction: manual merchant entry

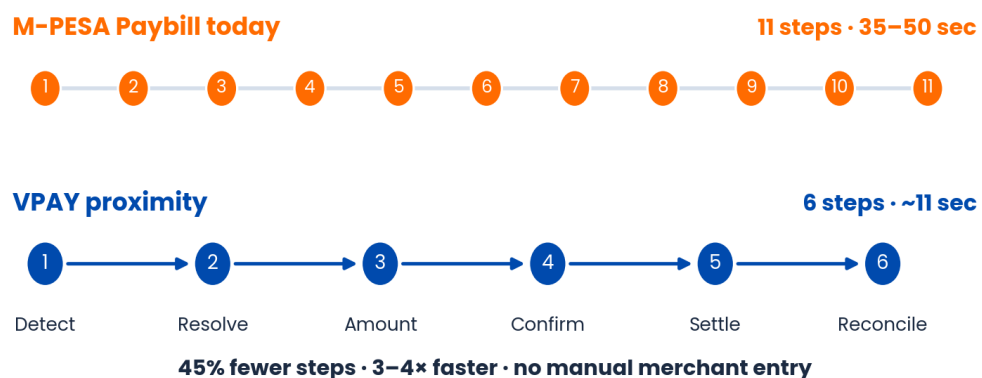


Figure 3. The current 11-step journey versus VPAY's 6-step proximity flow.

3.2 Where the friction bites

Each manual step is a point of failure. Three failure modes matter commercially:

- **Mis-keyed merchant identifiers.** A wrong till or paybill number produces a failed payment or, worse, a payment to the wrong merchant, which is costly and slow to reverse. VPAY removes manual entry entirely, which removes this class of error.
- **Abandonment under queue pressure.** At a busy till, the seconds lost to keying and confirming translate into queues, and queues translate into abandoned or cash-reverted transactions. Shaving 25 to 40 seconds off each payment is not a vanity metric; it is throughput at the counter.
- **Reconciliation burden on the merchant.** Small merchants still match SMS confirmations to sales by hand at day's end. VPAY's auto-reconciliation to the ledger removes that unpaid labour and the errors that come with it.

3.3 The behavioural economics of small frictions

A few seconds and a keystroke matter more than they appear, for reasons well established in behavioural economics.

Cognitive load. Every manual field imposes cognitive load and creates a decision point at which a habit can break. In high-frequency, low-value payments the customer's default is cash, precisely because cash carries no cognitive load at all. A digital flow only displaces cash when it becomes as effortless as cash, and proximity discovery closes most of that effort gap.

Habit formation. Once paying by tap is easier than reaching for notes, the behaviour repeats without deliberation and the frequency of digital payment rises. Small reductions in friction produce disproportionate increases in adoption, because they move a payment from the 'effortful' category into the 'automatic' one.

The honest scope of the problem. Equity's Pay With Equity already delivers free, instant, interoperable acceptance. So the problem VPAY solves is narrower than 'merchant payments are broken'. It is specifically the manual-discovery step and the reconciliation tail. That is a real, monetisable problem, but the Board should size the prize against that narrower scope, which is what Sections 6 and 7 do.

4. The VPAY Solution

VPAY is a Bluetooth Low Energy proximity acceptance layer that sits inside Equity's existing payments stack. It turns any BLE-capable phone into a point of acceptance, resolves the merchant automatically by proximity, and settles through Equity's core, capturing structured transaction data on the way.

4.1 What VPAY adds, and what it does not

Exhibit 4.1 VPAY relative to Pay With Equity (already live)

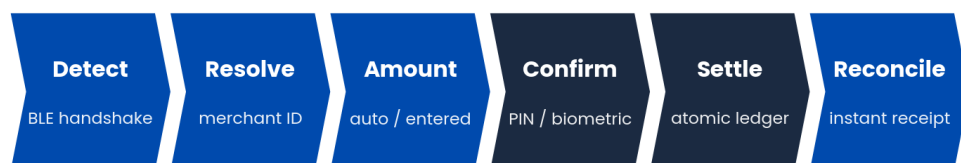
Capability	Pay With Equity (today)	VPAY adds
Interoperable acceptance (M-PESA, Airtel, Equitel, PesaLink)	Yes	Unchanged – VPAY rides the same rails
Real-time settlement to merchant account	Yes	Unchanged
Zero merchant commission	Yes	Unchanged
Automatic merchant discovery (no till keyed)	No	Yes – BLE proximity handshake
Offline / low-connectivity tolerance	Limited	Yes – local BLE handshake
Structured point-of-sale data for credit scoring	Partial	Yes – richer, device- and location-aware

Source: Pay With Equity product terms (Equity / Equitel). Positioning by Econsult Africa.

4.2 How a payment works, end to end

The flow is deliberately short. Detect: the customer's app and the merchant's device complete a BLE handshake as the customer approaches. Resolve: the merchant identity and till are resolved automatically, with no number keyed. Amount: the amount is entered once, or auto-populated where the merchant device supplies it. Confirm: the customer authorises by PIN or biometric. Settle: the transaction commits atomically to the Equity ledger. Reconcile: the collection auto-reconciles and both parties receive instant confirmation.

How a VPAY payment works, end to end



Every VPAY transaction becomes an Equity transaction and a credit-scoring data point

Figure 4. The six-stage VPAY payment pipeline.

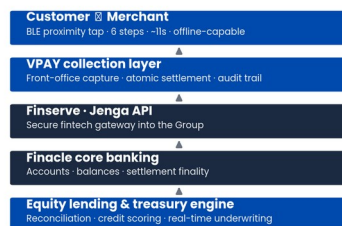
4.3 Security and trust

Because the product carries a bank's name, trust is a design requirement, not a feature. VPAY is specified with encryption in transit (TLS 1.3) and at rest (AES-256), key exchange over ECDH, rule-based controls (velocity, amount ceilings, geo-fencing), device fingerprinting and behavioural analytics, and machine-learning anomaly detection. A structural security property is worth noting for the Board: because authentication is bound to the device rather than the SIM, a SIM-swap, one of the most common attack vectors in Kenyan mobile fraud, does not by itself compromise a VPAY account. Merchant onboarding uses tiered KYC with PEP and sanctions screening and automated suspension on anomalous activity. These controls are described in the risk and regulatory sections and must be independently assured before launch.

4.4 Merchant experience

Onboarding a merchant requires no hardware purchase. A merchant registers, is KYC-screened at the appropriate tier, and activates on an existing smartphone. This is the crux of VPAY's unit economics: the marginal cost of adding a merchant is software and support, not a KES 15,000–50,000 terminal. Section 9 shows why that single fact drives the return.

VPAY plugs into the existing stack — no rip-and-replace



Source: Econsult Africa; SMT integration design; Equity Finserve / Finacle architecture.

Reading the stack. VPAY sits at the front office. It captures the payment by proximity, then settles down through Finserve's Jenga API and the Finacle core, exactly the rails Equity already runs. No layer is ripped out or replaced.

Crucially, the transaction that completes the payment is the same one that lands in Equity's treasury and credit-scoring engine. Every tap is at once a deposit event and a data point for lending.

Figure 5. VPAY integrates through Jenga API and Finacle into Equity's lending engine.

4.5 Value propositions by stakeholder

Stakeholder	Core value from VPAY
Customer	Pay by tap: no till numbers, no typing errors, faster checkout, works with low connectivity
Merchant	Free acceptance with zero hardware cost, instant settlement, automatic reconciliation, and a route to data-based working-capital credit
Equity	Low-cost deposits, richer credit data, higher retention, cost avoidance, and a defensible experience layer ahead of the FPS
SMT	A sustainable technology-partner revenue stream aligned to activation and value delivered, under Equity's licence
Regulator (CBK)	Advances the National Payments Strategy goals: inclusion, interoperability, digitisation and reduced cash handling

5. Why Bluetooth, and Why It Fits Kenya

The Board is entitled to ask why proximity should be delivered over BLE rather than QR, NFC or the status quo. The comparison below is made on the dimensions a bank actually cares about: customer effort, merchant cost, connectivity resilience and fraud surface.

Exhibit 5.1 Proximity and entry methods compared

Dimension	Manual entry	QR (KE-QR)	NFC / tap card	BLE proximity (VPAY)
Customer effort	High	Medium	Low	Low
Merchant hardware cost	None	None (print)	POS terminal	None (phone)
Works offline / weak signal	No	Partial	Yes	Yes
Auto-discovery (no aiming/keying)	No	No (must scan)	No (must tap)	Yes
Feature-phone reach	Yes	Limited	No	No (needs BLE)
Fraud surface	Mis-key	QR swap	Relay	Spoofing (mitigable)

Source: Econsult Africa assessment; CBK KE-QR standard 2023.

5.1 The honest trade-offs

Two caveats belong in a board paper. First, the feature-phone claim should be treated cautiously. BLE requires a Bluetooth-capable handset, and most feature phones in Kenya are not. The realistic addressable device base for VPAY is the 48.7 million smartphones, not the full 78 million SIMs. Where feature-phone reach is needed, it is delivered by the existing USSD and Pay With Equity rails, not by BLE. Second, BLE introduces its own fraud vector, proximity spoofing, which is addressed in the risk register (Section 11) and is manageable with signed beacons, cryptographic merchant resolution and server-side validation, but must be designed for from day one.

5.2 Coexistence with the KE-QR standard and the FPS

VPAY should not be positioned against the CBK's KE-QR standard; it should complement it. A pragmatic design supports both: BLE for hands-free proximity where devices allow, and interoperable QR as the universal fallback. The same discipline applies to the Fast Payment System. VPAY captures the payment intent and experience at the front office; the FPS, once live, can serve as one of the settlement rails behind it. Designing VPAY to be rail-agnostic protects the investment against regulatory change.

6. Market Sizing: An Honest TAM, SAM and SOM

This section replaces the market sizing in earlier drafts. It is the most important correction in this paper, so the reasoning is shown in full.

6.1 Why the earlier sizing does not survive scrutiny

Earlier material sized the opportunity as a KES 8.29 trillion 'TAM' across eight sectors, multiplied by a 1.5% blended take rate, to reach a revenue ceiling of roughly KES 124 billion, and in one place projected KES 250 billion from capturing 40% of the M-PESA rail. Three problems make these numbers unusable in front of a bank board:

- **The take rate is roughly four times reality.** M-PESA's entire Lipa na M-PESA merchant business processed about KES 2.0 trillion across 675,900 merchants in FY2025 and earned KES 7.6 billion from it, an effective rate near 0.38%, not 1.5%. Across all M-PESA rails the blended rate is about 0.42%.
- **It contradicts the product's own thesis.** VPAY's advantage is that Equity can price acceptance to near-zero. A revenue model built on a 1.5% fee assumes the opposite. Both cannot be true.
- **It confuses gross economic flow with addressable payment revenue.** The value of goods sold in a sector is not a payment-revenue pool. The realizable pool is a thin margin on the subset of flow that actually migrates to a given rail.

Bottom line: if M-PESA earns KES 7.6 billion on its entire merchant book, any claim of KES 124–250 billion in fee revenue signals to the Board that the author does not understand payment economics. This paper does not make that claim. It sizes the prize as balance-sheet value, per Section 7.

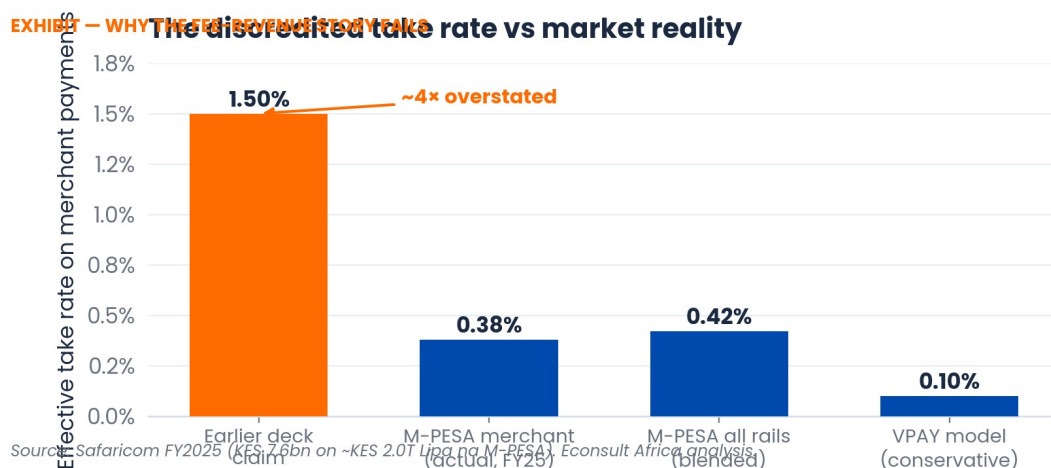


Figure 6. Effective take rate: the earlier claim against market reality.

6.2 A defensible market frame

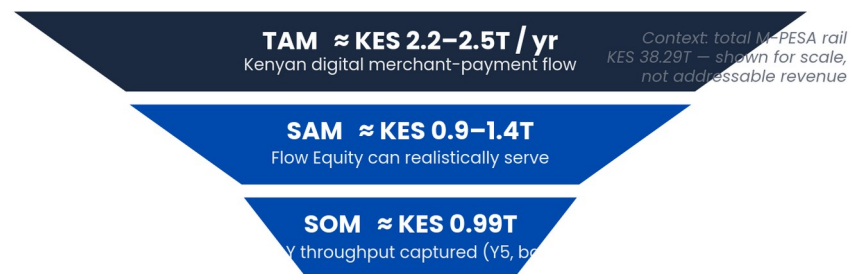
The right anchor is the proven, realizable merchant-payment pool, and the balance-sheet value that flows from participating in it.

Exhibit 6.1 TAM / SAM / SOM for VPAY in Kenya

Layer	Definition	Size (annual flow)	Basis
TAM	Kenyan digital merchant-payment flow (Lipa na M-PESA + Pochi + bank acquiring)	≈ KES 2.2–2.5T today, growing ≈15%/yr	Safaricom FY2025 merchant value + bank acquiring
Ecosystem context	Total M-PESA rail (all transaction types)	KES 38.29T	Safaricom FY2025 (context only, not addressable)
SAM	Flow Equity can realistically serve given its 45% SME position, PWE base and 7-market footprint	≈ KES 0.9–1.4T over the plan	Equity share of a growing merchant-payment pool
SOM	VPAY-processed throughput captured over 5 years (base case)	≈ KES 0.99T by Year 5	Section 9 adoption model

Source: Safaricom FY2025; Equity FY2025; Econsult Africa analysis. The KES 38.29T rail is shown for scale only and is explicitly not treated as addressable revenue.

An honest market frame: sized on realizable flow



Source: Safaricom FY2025; Equity FY2025; Econsult Africa analysis.

Figure 7. TAM, SAM and SOM sized on realizable merchant-payment flow.

6.3 Where the value concentrates

Not all merchant segments are equal. The segments that combine high transaction frequency, digital readiness and a credit relationship worth banking are where VPAY should be pointed first.

Segment	Frequency	Digital readiness	Priority for VPAY
Duka / general retail & kiosks	Very high	Medium	First wave — volume and habit
Fuel & transport (matatu,	Very high	Medium	First wave — speed at the point

Segment	Frequency	Digital readiness	Priority for VPAY
boda)			of sale
Pharmacies, clinics, agrovet	High	High	First wave — ticket size and data quality
Restaurants, cafes, fast food	High	High	Second wave
Schools & institutions (fees)	Low frequency, high value	Medium	Second wave — large ticket, leakage reduction
Supermarkets & chains	High	Very high	Selective — already card-enabled

Source: KNBS MSME structure; Econsult Africa segmentation. Kenya has ≈7.41M MSMEs (1.56M formal), contributing ≈40% of GDP.

7. The Value Case for Equity

This is the heart of the paper. It answers the only question an investment committee ultimately asks: what does this do to our P&L and balance sheet? VPAY's value to Equity flows through four channels. Each is built up from stated assumptions and reconciled in the financial model.

VPAY is not a fee business. Its value is measured on Equity's balance sheet — in deposits, in lending, and in defence.

7.1 Channel one — low-cost deposits

When a merchant collects through VPAY into an Equity account, and increasingly banks its float there, Equity gains low-cost deposits. Deposits fund lending and investment at a net interest spread. Equity earned KES 126.9 billion of net interest income in FY2025 on a KES 1.46 trillion deposit base, a testament to how valuable cheap, sticky funding is to this Group.

Assumption: incremental stable deposits attributable to VPAY equal 4% of annual throughput, earning a conservative 6% net interest spread. By Year 5, on KES 990 billion of throughput, this contributes roughly KES 2.4 billion per year.

7.2 Channel two — data-driven lending

This is the largest and most strategic channel. Equity is already the market leader in SME credit, accounting for 45% of all Kenyan bank lending to SMEs. Its constraint is not appetite; it is information. Every VPAY transaction is a verified, time-stamped, location-aware record of a merchant's cash flow, which is exactly the input that lets a lender extend credit to a thin-file business with confidence. Against an estimated KES 4 trillion MSME financing gap, better information converts directly into safely deployable loans.

Assumption: a growing share of VPAY-active merchants borrow against their transaction history, and the data also sharpens consumer underwriting. The attributable incremental loan book rises toward KES 30 billion by Year 5, earning a net lending margin of about 8% after cost of risk, contributing roughly KES 2.4 billion per year, plus origination and facility fees.

7.3 Channel three — transaction and interchange economics

Merchant acceptance is essentially free, by design. But modest, real economics still accrue: interoperable interchange when a customer on another network pays an Equity VPAY merchant, cash-back and cross-sell, and float on in-flight settlement. This paper models a blended net revenue of 0.10% on throughput, one-fifteenth of the discredited 1.5% figure, reaching roughly KES 1.0 billion per year by Year 5. This is deliberately conservative and consistent with a market moving to zero-rated small payments.

7.4 Channel four – cost avoidance and retention

Two further effects are real but harder to price precisely, so they are modelled conservatively. Cost avoidance: BLE removes the KES 15,000–50,000 hardware cost per merchant that card acquiring requires, and automates reconciliation, modelled at roughly KES 0.5 billion per year by Year 5. Retention and defence: a merchant whose collections, credit and settlement all run through Equity is materially harder for M-PESA to disintermediate. This defensive value is not separately monetised in the base case, which makes the base case conservative; it is discussed qualitatively and would strengthen the true return.

7.5 The four channels combined

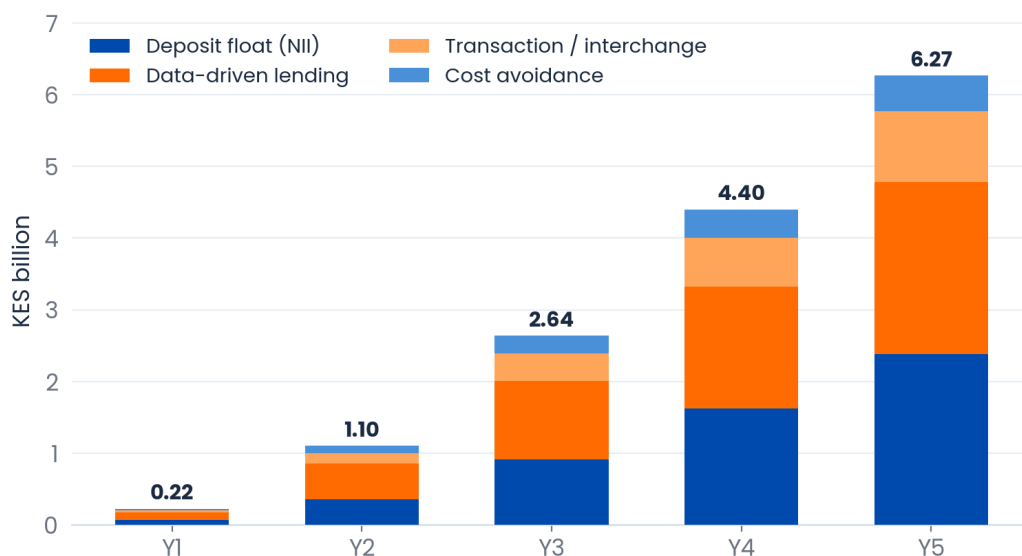
Exhibit 7.1 Gross annual value to Equity by channel – base case (KES billion)

Value channel	Y1	Y2	Y3	Y4	Y5
Deposit float (net interest spread)	0.07	0.35	0.91	1.62	2.38
Data-driven lending (net margin + fees)	0.10	0.50	1.10	1.70	2.40
Transaction / interchange economics	0.03	0.15	0.38	0.68	0.99
Cost avoidance & efficiency	0.02	0.10	0.25	0.40	0.50
Total gross value to Equity	0.22	1.10	2.64	4.40	6.27

Source: Econsult Africa analysis. Assumptions in Appendix A. Deposit and lending channels are the twin engines; both scale with throughput and merchant maturity.

EXHIBIT – GROSS ANNUAL VALUE TO EQUITY BY CHANNEL (BASE CASE)

Deposits and lending are the twin engines of value



Source: Econsult Africa analysis. Assumptions in Appendix A.

Figure 8. Gross annual value to Equity by channel, base case (KES bn).

Why this is more compelling than a fee story. At a Year-5 run-rate near KES 6.3 billion and growing, VPAY adds roughly 7% to Equity's current profit before tax for a fraction of the cost of a single mid-sized acquisition, while deepening the two things Equity is best in the

market at doing: gathering cheap deposits and lending to SMEs on good information. It plays to Equity's strengths rather than asking it to become a fee-charging telco.

8. Commercial Model and Deal Structure

How SMT is paid should follow from how value is created. Because the value accrues to Equity's balance sheet rather than to a transaction fee, a pure revenue-share on a fee that barely exists would misalign both parties. This section recommends a structure and explains why.

8.1 Options considered

Model	Description	Assessment
Pure per-transaction revenue share	SMT takes a % of a merchant fee	Rejected — the fee is near-zero by design; misaligns SMT to charge merchants
Pure software licence	One-off or annual licence fee	Simple but leaves value on the table for SMT and gives Equity no cost-flexing with adoption
Per-active-merchant SaaS	Monthly fee per activated merchant	Strong — aligns SMT to activation, scales with adoption, easy to budget
Performance gain-share	SMT earns a small % of incremental value Equity attributes to VPAY	Strong — aligns SMT to real balance-sheet value, de-risks Equity
Recommended: blended	Integration fee + per-active-merchant SaaS + capped gain-share	Best alignment: SMT paid for build, activation and value, not for taxing merchants

8.2 Recommended structure

- **One-time integration and licence fee** covering Jenga API / Finacle integration, security assurance and the VPAY IP licence. This funds the build and is gated to delivery milestones.
- **Per-active-merchant SaaS** charged monthly on merchants that are actually transacting, not merely registered. This ties SMT's income to activation, the metric that matters, and lets Equity's cost scale with the book.
- **Capped performance gain-share** a small percentage (indicatively 10–12%) of the incremental value Equity attributes to VPAY through deposits and lending, capped so that Equity always retains the large majority of value. This gives SMT genuine upside for delivering outcomes, not just software.

Modelled together, SMT's income under this structure is the 'SMT fees' line in the financials: roughly KES 0.3 billion in Year 1 (mostly integration) rising to about KES 0.95 billion by Year 5, a cumulative KES 2.4–2.6 billion over five years. That is a sustainable partnership economics, and it is two orders of magnitude below the discredited KES 124–250 billion figures, which is precisely why it is credible.

EXHIBIT — RECOMMENDED BLENDED COMMERCIAL MODEL (SMT INCOME)

SMT is paid for build, activation and value — not for taxing merchants

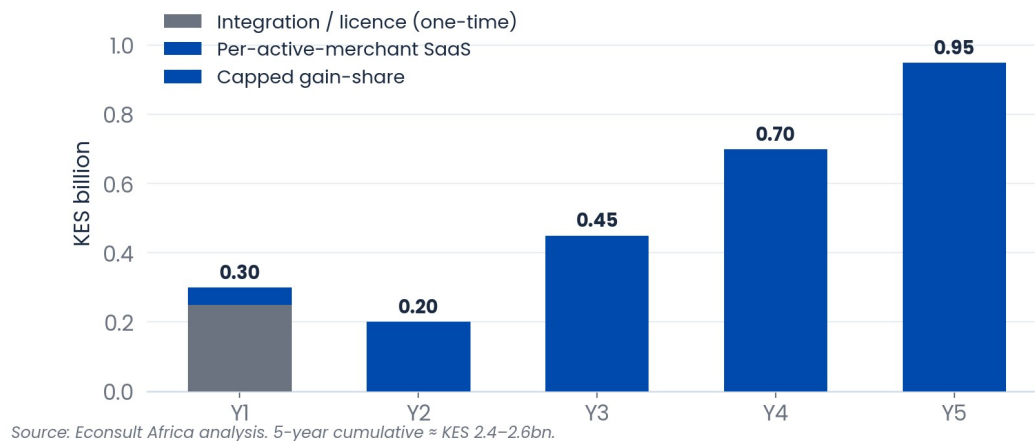


Figure 9. SMT income under the recommended blended model (KES bn).

8.3 Operating and regulatory posture

SMT should operate as a technology provider under Equity's regulatory licence and payment-system authorisations, not as a standalone Payment Service Provider. Kenyan case law has read the PSP definition broadly, and a bank-fronted, licence-covered arrangement is both faster to stand up and cleaner to supervise. Intellectual property, source-code escrow, exclusivity terms, service levels and exit rights should be fixed in the master services agreement before national rollout, addressing the vendor-dependency risk flagged in Section 11.

9. The Financial Case

This section presents the base case in full and brackets it with a downside and an upside. A detailed, cell-level model accompanies this paper separately; the figures here are its summary output. All key assumptions are listed in Appendix A.

9.1 Adoption model

Exhibit 9.1 Adoption and throughput — three scenarios

Metric / scenario	Y1	Y2	Y3	Y4	Y5
VPAY-active merchants (000s)					
Bear	12	40	90	140	180
Base	20	85	200	330	450
Bull	30	140	320	520	700
Throughput — base (KES bn)	30	145	380	677	990
Avg per merchant (KES m/yr)	1.5	1.7	1.9	2.05	2.2

Source: Econsult Africa analysis. Base-case Year-5 active-merchant count (450k) is calibrated below M-PESA's current 675.9k active Lipa na M-PESA tills, i.e. a fair-share ambition, not market capture.

EXHIBIT — MERCHANT ADOPTION, THREE SCENARIOS

Base-case Year-5 target sits below today's M-PESA active base

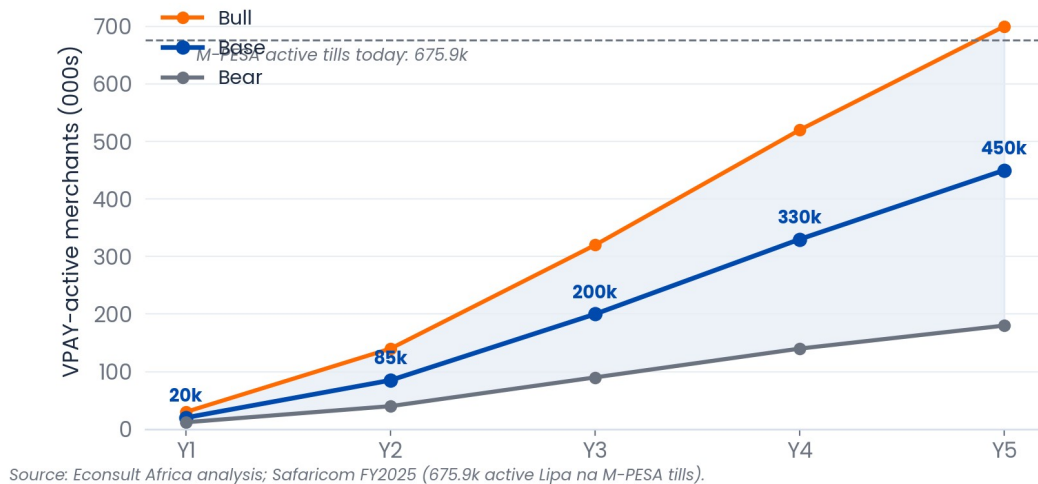


Figure 10. Merchant adoption across bear, base and bull scenarios.

9.2 Value, cost and net contribution

Exhibit 9.2 Equity value, cost and net — base case (KES billion)

Line	Y1	Y2	Y3	Y4	Y5	5-yr
Gross value to Equity	0.22	1.10	2.64	4.40	6.27	14.63
Costs:						
Integration / build (one-time)	0.25	—	—	—	—	0.25
SMT fees (SaaS + gain-share)	0.05	0.20	0.45	0.70	0.95	2.35

Line	Y1	Y2	Y3	Y4	Y5	5-yr
Internal opex (product, acq, risk)	0.35	0.60	0.90	1.20	1.50	4.55
Total cost	0.65	0.80	1.35	1.90	2.45	7.15
Net value to Equity	(0.43)	0.30	1.29	2.50	3.82	7.48
Cumulative net	(0.43)	(0.13)	1.16	3.66	7.48	

Source: Econsult Africa analysis, base case. Defensive/retention value is not monetised here, making the base case conservative.

9.3 Return metrics

Metric	Bear	Base	Bull	Note
Payback period	≈ Yr 4–5	≈ Yr 3 (≈30 mo)	≈ Yr 2	When cumulative net turns positive
5-yr NPV @ 20% (excl. terminal)	≈ breakeven	≈ KES 3.3bn	≈ KES 8–10bn	Positive at Equity's hurdle in base+
NPV incl. terminal value	modest +	≈ KES 10bn+	≈ KES 20bn+	Year-5 run-rate capitalised
IRR	low double digit	> 45%	> 70%	Small upfront cost drives high IRR
Year-5 gross value run-rate	≈ KES 2.8bn	≈ KES 6.3bn	≈ KES 11bn	And growing beyond the window

Source: Econsult Africa analysis. Discount rate of 20% used as a conservative proxy for Equity's hurdle; to be confirmed with Group Finance.

9.4 Unit economics

The return is driven less by scale than by the economics of a single merchant, and those economics are unusual because no hardware is involved.

Unit metric	Base-case value	Comment
Merchant acquisition cost (software-only)	≈ KES 1,000–1,500	Versus KES 15,000–50,000 for card POS
Annual value per active merchant (Y5)	≈ KES 13,900	Gross value / active merchants
Merchant lifetime value (5-yr, discounted)	≈ KES 45,000–55,000	At ≈15% annual attrition
LTV : CAC	≈ 30–40x	Exceptional — because CAC has no hardware
Contribution margin at maturity	High	Marginal cost is support and SMT SaaS

9.5 Sensitivity: what actually moves the answer

The base case was stress-tested against its inputs. The value is most sensitive, in order, to: merchant activation rate (not sign-ups), average throughput per merchant, the borrowing conversion that drives the lending channel, and the net interest spread on deposits. It is relatively insensitive to the transaction-economics assumption, by design, since that channel is small. The practical implication for governance is that the pilot must measure activation and per-merchant throughput above all else, because those are the swing variables.

Swing variable	Downside	Base	Upside	Effect on Y5 value
Merchant activation rate	Low	Mid	High	Very high
Throughput per merchant	KES 1.5m	KES 2.2m	KES 3.0m	High
Borrowing conversion (lending)	15%	30%	45%	High
Net interest spread	4%	6%	8%	Medium
Transaction economics	0.05%	0.10%	0.20%	Low (by design)

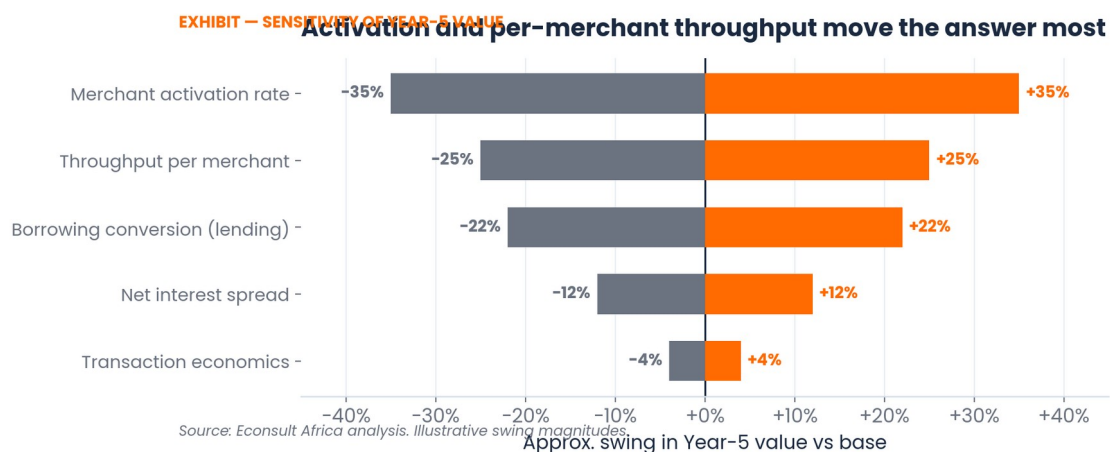


Figure 11. Sensitivity of Year-5 value to key assumptions.

10. Competitive Positioning and Defensibility

10.1 The landscape

VPAY does not enter an empty field. The honest competitive question is not 'can VPAY beat M-PESA' but 'does VPAY give Equity a defensible experience-and-data layer as the rails commoditise'. The comparison should be read in that light.

Player / method	Strength	Limitation VPAY exploits
M-PESA (Lipa na M-PESA)	Ubiquity, habit, agent network	Fee model constrains it; limited credit data; manual till entry
Pay With Equity (Equity, today)	Free, instant, interoperable	No proximity discovery; VPAY upgrades it
KE-QR / bank QR	Standard, cheap	Still requires scanning and aiming; VPAY complements it
Card tap / NFC	Familiar at chains	Needs POS hardware; poor SME reach
Global wallets (Apple/Google Pay)	Slick UX	Thin merchant footprint in Kenya; device-locked
Regional fintechs	Agile	Lack a bank balance sheet and licence

10.2 The defensibility argument, stated carefully

Earlier material argued that Equity uniquely combines a banking licence, an MVNO (Equitel) and proximity technology, and that no competitor can assemble all three. The argument has merit and is worth making, but it should be made with two honesty caveats so it survives challenge. First, Equitel is a genuine and rare asset, a bank-owned mobile layer, but it is a small share of the SIM market, so it is a strategic identity-and-distribution asset rather than a mass-market channel on its own. Second, the proximity technology itself is licensable and therefore not permanently exclusive; the durable moat is the combination of Equity's balance sheet, licence, customer base and data, into which VPAY feeds, not the BLE code in isolation. Framed this way, the defensibility claim is strong and defensible rather than overclaimed.

10.3 SWOT

SWOT — stated candidly

STRENGTHS • Rides Equity's licence & balance sheet • 45% SME lending position + data engine • Near-zero merchant acquisition cost • Aligned to the 2030 100M-customer goal	WEAKNESSES • No pilot data yet • Single-vendor (SMT) dependency • BLE excludes most feature phones • Needs behaviour change at the till
OPPORTUNITIES • FPS shifts advantage to experience/data • KES 4T MSME financing gap • Pan-African rollout across 7 markets • Cash-to-digital migration	THREATS • M-PESA competitive response • CBK rule changes (QR / FPS) • Fraud / spoofing reputational risk • Slow merchant activation

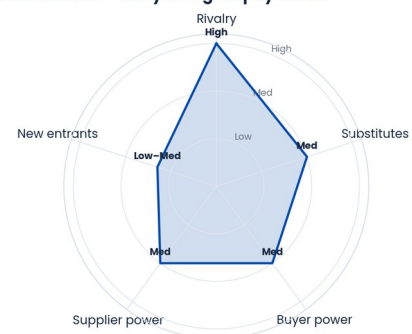
Figure 12. SWOT analysis for VPAY within the Equity ecosystem.

10.4 Porter's Five Forces (Kenyan digital payments)

Force	Intensity	Reading
Rivalry	High	M-PESA dominant but fee-constrained; banks converging on acceptance
Threat of substitutes	Medium	Cash still default for small tickets; QR and FPS as alternatives
Buyer power (merchants)	Medium	Merchants multi-home; low switching cost — experience wins them
Supplier power (SMT / tech)	Medium	Manage via escrow, IP terms, second-source options
Threat of new entrants	Low-Medium	Licence, balance sheet and trust are high barriers — Equity's advantage

The force that favours Equity most is the low threat of new entrants. A would-be rival needs a banking licence, a balance sheet and years of earned trust before it can compete on this rail. Rivalry is high and merchants multi-home, so the contest is won on experience and data, not on price, which is precisely where a bank with Equity's assets is strongest.

Porter's Five Forces — Kenyan digital payments



Barriers of licence, balance sheet and trust keep new-entrant threat low — Equity's advantage.

Figure 13. Porter's Five Forces in Kenyan digital payments.

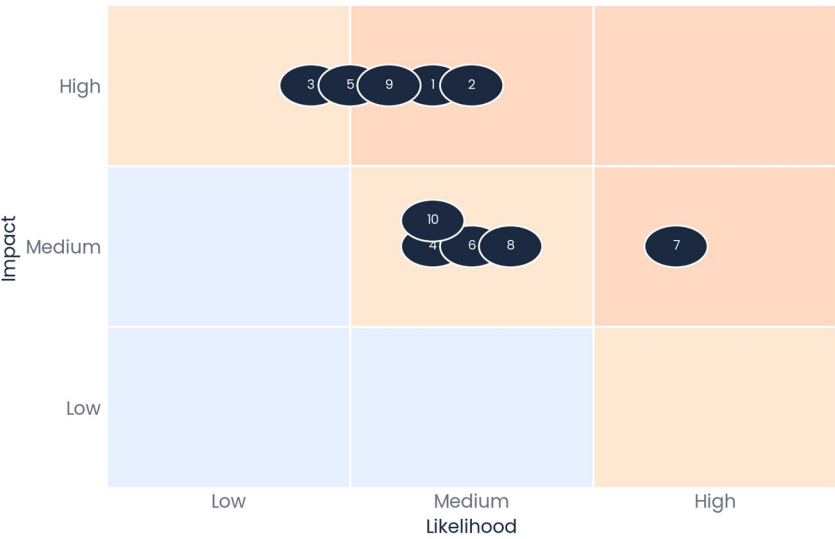
11. Risk Register

Risks are assessed on likelihood and impact, with mitigations and the residual position after mitigation. The register is deliberately candid; a board paper that hides its risks is not useful.

Risk	L	I	Mitigation	Residual
BLE proximity spoofing / fraud	M	H	Signed beacons, cryptographic merchant resolution, server-side validation, ML anomaly detection	Low-M
Slow merchant activation	M	H	Gate rollout on pilot activation; incentivise activation not sign-up; agent-assisted onboarding	M
Cybersecurity breach	L-M	H	TLS 1.3 / AES-256, SOC, independent penetration testing before launch	Low
Regulatory change (FPS/QR mandate)	M	M	Rail-agnostic design; support KE-QR; ride FPS as settlement	Low
Data protection non-compliance	L-M	H	DPA 2019 compliance by design; consent; ODPC registration; purpose limitation	Low
Vendor / single-supplier dependency	M	M	Source-code escrow, IP licence, documented architecture, second-source path	Low-M
Competitive response (M-PESA)	H	M	Speed to habit; data moat; bundle with Equity credit	M
Low customer behaviour change	M	M	Merchant-led nudges; incentives; make tap easier than cash	M
Fraud reputational spill to Equity brand	L-M	H	Bank-grade controls; SIM-swap resistance; clear liability model	Low-M
Execution / integration overrun	M	M	Milestone-gated build; Finserve-led integration; contingency	Low-M

L = likelihood, I = impact. H high, M medium, L low.

Risk heat map — residual after mitigation trends down-left



1 BLE spoofing 2 Slow activation 3 Cybersecurity 4 Regulatory 5 Data protection
6 Vendor dependency 7 Competitive 8 Behaviour change 9 Fraud reputational 10 Execution

Figure 14. Risk heat map by likelihood and impact (numbered per register).

12. Regulatory and Compliance Assessment

VPAY can be implemented within Kenya's existing regulatory framework provided it is fronted by Equity's licences and built to comply by design. The key instruments and their implications:

Instrument / regime	Relevance to VPAY	Compliance posture
National Payment System Act 2011 & Regs 2014	Governs payment systems and PSPs; CBK authorises	Operate under Equity's existing authorisations; SMT as technology provider, not standalone PSP
National Payments Strategy 2022–2025	Interoperability, KE-QR, FPS, ISO 20022	Design VPAY to advance, not resist, these goals; rail-agnostic
CBK Fast Payment System (in development)	Future instant A2A rail	Position VPAY to use FPS as a settlement option
Data Protection Act 2019 (ODPC)	Transaction data used for credit scoring	Consent, purpose limitation, data-subject rights, ODPC registration; DPIA before launch
AML / CFT (POCAMLA) & KYC	Merchant and customer onboarding	Tiered KYC, PEP/sanctions screening, transaction monitoring, SAR filing
Consumer protection framework (emerging)	Disclosure, dispute resolution	Transparent terms, clear reversal and complaint paths

The single most important regulatory design decision is the licensing posture. Kenyan courts have interpreted the PSP definition broadly, so a standalone SMT PSP application would be slow and uncertain. Delivering VPAY under Equity's existing payment-system authorisation is faster, cleaner to supervise, and consistent with how bank-fintech technology partnerships are structured in the market.

13. Implementation Roadmap and Change Management

13.1 Phased plan with go / no-go gates

Phase	Duration	Key deliverables	Gate to proceed
1. Discovery & design	4–6 wks	Solution design, integration spec, security architecture, DPIA	Board approval of pilot budget
2. Build & integration	8–12 wks	Jenga API / Finacle integration, VPAY collection layer, controls	Successful integration & security sign-off
3. Security & UAT	4–6 wks	Penetration test, UAT, fraud-scenario testing	Independent assurance clearance
4. Pilot	12–16 wks	1–2 dense corridors; activation, success-rate, fraud metrics	Meets pre-agreed pilot KPIs (see 13.2)
5. Evaluate & iterate	4 wks	Pilot readout, model recalibration with real data	Board go/no-go for national rollout
6. National rollout	6–12 mo	Phased sector rollout per Exhibit 6.2 priority	Ongoing KPI thresholds
7. Optimise & extend	Continuous	Cross-market rollout, credit-product bundling	Group expansion approval

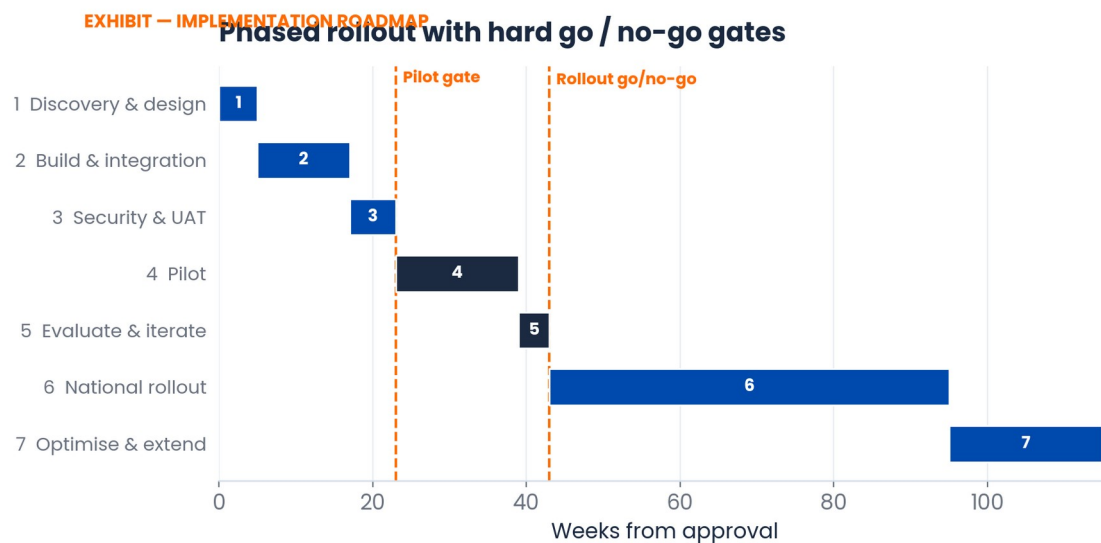


Figure 15. Phased implementation timeline with go / no-go gates.

13.2 Pilot success criteria (illustrative)

- Merchant activation rate above target within the corridor (activation, not registration)
- Transaction success rate at or above the Pay With Equity baseline
- Settlement integrity: zero unreconciled settlement breaks
- Fraud losses within a pre-agreed basis-point ceiling
- Median payment completion time at or below the design target (≈11s)

13.3 Change management

Adoption is a behaviour-change programme, not a technology deployment. The plan should secure executive sponsorship at ExCo level; brief and equip branch and agent networks as the merchant-acquisition front line; run merchant onboarding as an assisted, incentivised process focused on first-transaction activation; educate customers through merchant-led nudges at the point of sale; and maintain a tight feedback loop from the field into product. A dedicated support model, with clear liability and dispute handling, protects the Equity brand during scale-up.

14. KPI Framework

What gets measured governs the rollout. The following metrics, with owners and Year-1-to-5 targets, should be reported monthly to a VPAY steering committee.

KPI	Definition / formula	Y1	Y3	Y5
Active merchants	Merchants with ≥1 txn in the month (000s)	20	200	450
Merchant activation rate	Active ÷ registered merchants	55%	70%	75%
Monthly throughput	Total VPAY value processed (KES bn/mo)	2.5	32	82
Payment success rate	Successful ÷ attempted payments	≥97%	≥98.5%	≥99%
Median completion time	Seconds from tap to confirmation	≤13s	≤12s	≤11s
VPAY-attributable deposits	Incremental stable deposits (KES bn)	1.2	15	40
VPAY-attributable loan book	Incremental loans originated (KES bn)	1.2	14	30
Fraud rate	Fraud value ÷ throughput (bps)	tight cap	↓	↓
Merchant retention	1 – annual merchant attrition	≥80%	≥85%	≥85%
Net Promoter Score	Merchant + customer NPS	baseline	↑	↑

Source: Econsult Africa analysis; targets are illustrative and to be reset after the pilot with real data.

15. Investment Recommendation

15.1 The recommendation

Proceed to a gated pilot, then decide on national rollout. Approve integration of VPAY into the Finserve (Jenga API) and Finacle stack and a 90-to-120-day pilot, at an initial commitment in the order of KES 250–400 million. Authorise national rollout only if the pilot clears the success criteria in Section 13. Engage SMT under Equity's licence on the blended commercial model in Section 8.

15.2 Why proceed

- **Strategic fit.** VPAY strengthens the two capabilities Equity leads the market in, deposit gathering and SME lending, and gives it an experience-and-data layer precisely as the payment rails commoditise.
- **Financial attractiveness.** Positive NPV at the hurdle rate on a conservative base case, payback inside Year 3, and a high IRR driven by near-zero merchant acquisition cost.
- **Asymmetry of the bet.** The downside is capped by a small, gated pilot commitment; the upside compounds through the balance sheet and across seven markets.
- **Defensive value.** Even setting growth aside, VPAY slows the disintermediation of Equity's payment flows by M-PESA, value that the base case does not even monetise.

EXHIBIT — RECOMMENDATION PRIORITISATION

Start with the quick, high-impact win: the gated pilot



Figure 16. Recommendation prioritisation by impact and effort.

15.3 Conditions for approval

- A live pilot validates activation and per-merchant throughput, the two swing variables, before rollout capital is committed.

- Independent security and data-protection assurance (penetration test, DPIA) is cleared before launch.
- The master services agreement fixes IP, source-code escrow, service levels, exclusivity and exit terms, closing the vendor-dependency risk.
- VPAY is built rail-agnostic to coexist with KE-QR and to ride the FPS.
- Group Finance confirms the hurdle rate and validates the model against the pilot before national scale-up.

15.4 Governance

A VPAY steering committee should be constituted, chaired by the Chief Digital Officer or equivalent, with representation from Retail and Business Banking, Finserve, Risk, Compliance, Data Protection and Finance, and with SMT accountable through the master services agreement. The committee owns the KPI dashboard, the pilot gates and the rollout decision. It reports to the Board Innovation or Technology Committee.

15.5 Immediate next steps

- Board / ExCo decision on the gated-pilot commitment.
- Finalise the master services agreement and commercial terms with SMT.
- Stand up the steering committee and confirm pilot corridors and KPIs.
- Complete the detailed financial model and the security / DPIA workstream in parallel with integration.

Appendix A. Assumptions Register

Every figure in this paper derives from the assumptions below. They are the first thing the pilot should test. Confidence is the author's judgement pending live data.

Assumption	Base value	Confidence
Y5 VPAY-active merchants	450,000	Medium
Avg throughput / merchant (Y5)	KES 2.2m / yr	Medium
Incremental deposits as % of throughput	4%	Medium-Low
Net interest spread on deposits	6%	Medium
Borrowing conversion (merchants)	30% by Y5	Medium-Low
Incremental loan book (Y5)	KES 30bn	Medium-Low
Net lending margin (after cost of risk)	8%	Medium
Blended transaction economics	0.10% of throughput	Medium
Cost avoidance (Y5)	KES 0.5bn	Low
Merchant acquisition cost	KES 1,000–1,500	Medium (no hardware)
Integration / build (one-time)	KES 250–400m	Medium
SMT fees (Y5)	KES 0.95bn	Medium
Internal opex (Y5)	KES 1.5bn	Medium
Discount rate / hurdle	20%	To confirm (Group Finance)
Merchant annual attrition	15%	Medium

Appendix B. Sources

1. Equity Group Holdings Plc, FY2025 results (PBT KES 92.1bn; 22.4m accounts; deposits KES 1.46T; NII KES 126.9bn; CIR 51%; 98% off-branch; 45% SME lending; 2030 ambition). [\[link\]](#)
2. Equity Group Holdings Plc, FY2025 Investor Booklet. [\[link\]](#)
3. Finance in Africa, Equity FY2025 PBT KES 92.1bn. [\[link\]](#)
4. Safaricom FY2025 financial statements (M-PESA KES 38.29T value; Lipa na M-PESA 675.9k merchants; revenue KES 161.1bn). [\[link\]](#)
5. NCBA, Safaricom FY2025 earnings update (Lipa na M-PESA revenue KES 7.6bn on ≈KES 2.0T value). [\[link\]](#)
6. Safaricom FY2025/26 (M-PESA Kadogo: 58% of transactions zero-rated; revenue KES 182.7bn). [\[link\]](#)
7. Communications Authority of Kenya, Q2 FY2025/26 sector statistics (48.7m smartphones; 51.4m mobile-money subs; M-PESA 89%). [\[link\]](#)
8. Communications Authority of Kenya, smartphone penetration 83.5% (June 2025). [\[link\]](#)
9. KNBS 2016 MSME survey / Kenya SME statistics (7.41m MSMEs; 1.56m formal). [\[link\]](#)

10. Draft MSME Policy 2025 (KES 4T financing gap; MSME bank credit KES 783.3bn / 1.18m accounts). [\[link\]](#)
11. CBK National Payments Strategy 2022–2025. [\[link\]](#)
12. CBK Fast Payment System / interoperability (MicroSave; Techpoint). [\[link\]](#)
13. Pay With Equity (formerly EazzyPay): interoperable, real-time, zero-commission acquiring. [\[link\]](#)
14. Kenya PSP licensing and the broad PSP definition (Kenex v CBK, 2022). [\[link\]](#)

Appendix C. Glossary

Term	Meaning
BLE	Bluetooth Low Energy — short-range wireless used for proximity detection
CASA	Current and savings accounts — low-cost bank deposits
CAC / MAC	Customer / merchant acquisition cost
FPS	Fast Payment System — CBK’s planned instant account-to-account rail
KE-QR	Kenya’s interoperable QR code standard (CBK, 2023)
LTV	Lifetime value of a customer or merchant
NII / NIM	Net interest income / net interest margin
NPS (payments)	National Payments Strategy 2022–2025
PWE	Pay With Equity — Equity’s existing interoperable acquiring rail
PSP	Payment Service Provider (CBK-authorized)
SOM / SAM / TAM	Serviceable-obtainable / serviceable-available / total addressable market